

Semiconductors | North America

Weekly: Earnings Week 2
(AMKR, NVTs, NXPI, SWKS,
QCOM, ALGM, ON); Thoughts
on MRVL/Frozen, MCHP/Hailo

Stocks continue to see some downward pressure - but the numbers have been good and for the most part we see that continuing this week. We also touch on Google "Frozen" and Microchip's acquisition of Hailo.

Google Frozen could be a Marvell opportunity. Google (covered by Brian Nowak) is reportedly exploring "Frozen v2," a new chip designed specifically to run Gemini models more efficiently. Unlike a general-purpose TPU, Frozen v2 could hardwire elements of Gemini's architecture directly into the silicon, improving inference speed and power efficiency. Our checks suggest the chip will use on-chip SRAM, eliminating the need for CoWoS packaging, with limited production beginning in 2027 and a broader ramp in 2028. Per industry checks, we believe Marvell is a likely development partner, although the supplier has not been confirmed. More broadly, Frozen v2 reinforces the emerging trend toward SRAM-based solutions optimized for inference workloads. While volumes are expected to be modest initially, the program could still support Marvell's custom silicon outlook, particularly given management's guidance for more than 100% growth in 2027.

Microchip announced a definitive agreement to acquire Hailo on Friday while COO Richard Simoncic has resigned to become CEO of Menlo Microsystems (private). Hailo is a provider of accelerated edge AI processors, advanced vision processing solutions, and robotics processors - with financial terms undisclosed, the deal expected to remain immaterial, and closing targeted by end of September 2026. The deal fits a broader trend of semis positioning at the Physical AI/edge intersection, validated by ON's acquisition of Synaptics, and is consistent with Microchip's long history of acquisitions - having executed roughly 17 deals between 2009 and 2018 alone, including Atmel, Microsemi, and PMC-Sierra. While the strategic rationale is clear, with so many acquisitions over the years it can be difficult to track where value is being created - not necessarily a negative, but a complexity worth acknowledging given the core business remains deeply embedded in product markets where AI-driven revenue uplift is slow to materialize.

AMKR (EW, reporting after the market close on Monday, July 27th): Looking for additional details on the NVIDIA and TSMC deals and the pace of GM% expansion. With the stock up 50% YTD and advanced packaging continuing to see momentum, the focus around the Arizona opportunity has continued to intensify

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SEMICONDUCTORS	
North America	Attractive
Industry View	

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throughout the quarter. The Analyst Day in May provided greater clarity on the Arizona build-out, though we continue to view estimate revisions as more likely to be driven by later in the year - particularly around the HDFO ramp cadence and the 2H margin bridge. **For the print, we're focused on:**

1.) Potential for AMKR pricing benefit as OSAT capacity tightens. The broader backend capacity environment is clearly tight: industry utilization overall is running at ~90% (while AMKR is at mid-70's%), ASE has raised advanced packaging quotes by more than 20%, and non-TSMC CoWoS capacity (Amkor + ASE) is expected to reach ~80kwpm by end-2027 with Amkor growing from 20kwpm to 30kwpm (MSe). TSMC confirmed its own advanced packaging capacity is *"so tight that it is limited by customers' growth,"* welcoming third-party OSATs to absorb overflow. The question is how much of this pricing power flows through to Amkor's P&L - mgmt cited pricing, utilization, and mix as the three levers for 2H GM% expansion, but substrate and material constraints (advanced silicon, memory, BT substrate up 20-30%) are creating nonlinear loading that could limit the capture. We want to hear how much of the industry price upcycle is already in guidance vs. still to come.

2.) Whether the Arizona dilution path has changed since the Analyst Day. The key overhang on the stock in our view remains the pace of GM% recovery and is the primary driver of our EW rating. Mgmt guided for 1-2% operating income dilution starting in 2027 as Arizona construction costs flow through OpEx before programs qualify in ~2028, and the 2028 EPS target of \$2.50 came in below both our estimate and consensus. [The \\$1.5bn NVIDIA deal](#) and TSMC procurement agreement are strategically important validations of the demand side, though it remains to be seen whether they materially change the dilution math - higher depreciation from front-loaded HDFO equipment and ongoing material supply constraints are real offsets, and we think the earnings power inflection timeline warrants watching closely. We are modestly more conservative than the Street on the pace of the bridge and look to the print for any update to the 2028 framework.

NVTS (UW, reporting after the market close on Monday, July 27th): Expectations are high for an 800V sampling update and additional detail on recent NVTS announcements. As we move through 2H26 and closer to 2027, investors are hyperfocused on evidence of progress in Navitas' 800V roadmap. The company delivered final production samples to customers last quarter and recently announced a licensing deal with Magnachip for GeneSiC Gen 4/5 TAP SiC technology - though we view the Magnachip opportunity as immaterial to the Navitas story near-term, as Magnachip is only just beginning its SiC journey and investors remain squarely focused on the 800V GaN HVDC theme. Legal actions from Renesas and Wolfspeed against Navitas remain an overhang on the stock.

We continue to acknowledge that Navitas 2.0 is moving in the right direction and give credit for the HSD q/q growth mgmt has guided to - but significant proof points remain in question. The stock has pulled back ~70% from its June ATH of \$34 - a meaningful reset, but one that still leaves a wide gap between where the stock is and where the fundamentals are, with a sub-\$10mn quarterly run rate and a long-duration catalyst path. We continue to see more favorable risk/reward elsewhere for

high-power themes such as GaN in other MS-covered names such as Innoscience (Daisy Dai), Renesas (Kazuo Yoshikawa), and Infineon (Lee Simpson), which already have incumbency status.

NXPI (OW, reporting after the market close on Tuesday, July 28th): We expect NXP to report an above-consensus JunQ and SepQ guide as peer read-throughs have been quite strong. In our [2Q26 Distributor Survey](#), auto expectations were notably mixed relative to Industrial, with respondents recording weaker-than-seasonal expectations increasing from 6% to 15%. That said, after overall strong results from [TI](#) and [STMicro](#) last week - with auto in particular outperforming (+HSD % q/q for TI and +14% q/q for STMicro) - the setup for NXP's print has become more de-risked. More broadly, TI reported a beat and raise, characterizing this point in time as "the start of a cycle that is very, very broad." STMicro similarly beat its JunQ guide, led by auto and Industrial, book-to-bills close to 2 overall, and distribution inventory now below its standard target. With NXP having guided 2Q26 revenue of \$3.45bn (+18% y/y, +8% q/q) and auto at +HSD q/q, the peer data de-risks the JunQ guide and raises the bar for a SepQ raise. What we are focused on for earnings:

1. Lead times and supply tightness: TI confirmed lead times ticked up a couple of weeks in 2Q26 - from below 13 weeks to slightly above - "simply because the demand is growing," with competitors now quoting 52-week lead times. Additionally, CEO Haviv Ilan called out auto dynamics: *I think our automotive customers have taken their inventory to very low levels. And now, as there is a little bit more demand, they find themselves in a situation that is not sustainable. I think that also drove part of the demand.* Backlog built throughout 2Q26 for both immediate and forward shipment, with short lead time orders a meaningful driver of TI's above-range result. For NXP, which at 1Q26 noted "slight bottlenecks in certain parts of the supply chain" and was already taking selective pricing adjustments, the TI data suggests tightness has intensified further through the quarter - any commentary on lead time extension or escalating customer urgency would be a meaningful positive signal for 2H visibility.

2. Automotive strength driven by China EV/hybrid momentum: TI's automotive inflection was led by China EVs/hybrids, with demand having "developed throughout the quarter" - not visible at the April call and building as the quarter progressed, suggesting the cycle is still early. STMicro confirmed automotive performed "above what we expect and what the market is expecting," guiding the segment to grow ~13-14% y/y for the full year. The read-through for NXP is particularly strong: unlike TI's analog/power-heavy auto exposure, NXP's growth is driven by SDV architecture transitions - S32N, S32K5, imaging radar, 10-gigabit Ethernet - which are content-per-vehicle stories independent of SAAR. NXP's accelerated growth drivers were already north of 45% of auto revenue in 1Q26 and growing double digits, positioning it to capture the tailwinds seen by TI and STMicro.

SWKS (EW, reporting after the market close on Tuesday, July 28th): Skyworks has continued to execute well despite a challenging smartphone environment, and we see a relatively balanced setup heading into the June-quarter print. We

model mobile revenue declining ~4% q/q, consistent with management's outlook for an LSD decline, with Broad Markets remaining relatively stable. Apple demand appears to be the most resilient part of the smartphone market, and our hardware team does not anticipate any meaningful changes in iPhone builds in the C2H (Apple covered by Erik Woodring). Given Skyworks' concentration in premium smartphones, we believe the company should hold up better than suppliers with greater exposure to lower-end devices, although rising memory costs and the resulting pressure on handset pricing and demand remain an industry-wide headwind to watch. Blended RF content at Apple should remain roughly flat near term.

Looking to September, we model total revenue increasing 10% q/q, including mobile growth of 16%. Mobile growth is slightly below seasonal, which is typically ~20% q/q, but we are remaining conservative given memory-related cost inflation that is a significant risk, and September iPhone builds that are tracking below seasonal, which may be partly due to Apple's staggered launch. We continue to view the Qorvo acquisition positively, with management targeting an early-2027 close or possibly late 2026.

QCOM (EW, reporting after the market close on Wednesday, July 29th): We moved off Underweight after Qualcomm's data center investor day, as the \$5bn FY27 target made the diversification story far more tangible. Handsets remain under pressure from Android weakness, memory inflation and Apple modem share loss, but the debate has shifted to whether data center can scale fast enough to offset those headwinds. We expect challenging handset fundamentals for the next few quarters.

Double-digit chipset pricing could cushion the Android downturn. We model June handset revenue of \$4.9bn, in line with guidance, with management calling June the bottom for China Android. Bloomberg reported that Qualcomm is raising chipset prices by double digits to offset higher costs, which should support margins, though the benefit will take time and could further pressure demand. We model flattish Android revenue in September and see limited recovery thereafter, with some weakness broadening beyond the low end. Qualcomm should outperform given its premium mix, but we remain below consensus for September at \$9.5bn of revenue (1.5% q/q and -15.5% y/y), including \$4.6bn of handset revenue (-7% q/q and -33% y/y). Apple share loss also becomes more material, with Qualcomm's share of iPhone units falling from roughly 70% in September to 40% in December, though this is well understood. We updated our model to reflect our hardware team's latest Apple assumptions and our revised expectations for Qualcomm's share, with no material change to our full-year estimates.

Diversification is gaining traction, with automotive as the foundation and data center the key swing factor, with possible Trainium participation. Automotive should remain a bright spot, with Qualcomm on track to exit FY26 at approximately a \$6bn revenue run rate according to the latest guidance. In data center, the \$5bn FY27 target appears largely driven by custom silicon, including at least two \$1bn-plus programs, with little contribution from Qualcomm's own CPU or merchant

accelerator products. Alphawave's existing wins should be a meaningful part of the ramp. Qualcomm also continues to develop a custom AI XPU for ByteDance that uses LPDDR rather than HBM, with shipments expected next year. We have also heard Qualcomm could receive a portion of the Trainium opportunity alongside Marvell and Alchip, potentially supported by its access to 3nm wafers. Qualcomm remains our least-preferred AI exposure and the longer-term roadmap is still a show-me story, but \$5bn in FY27 would materially help fill the handset hole and validate the diversification strategy.

ALGM (OW; reports before market open Thursday, July 30th): Strong quarter with continued secular momentum expected, though expectations for auto strength are elevated. We expect Allegro to come in at the high end of its JunQ revenue range with a strong SepQ guide. Following last quarter which was squarely in-line amidst exceptionally high expectations, Allegro is expected to report near the high-end of guidance this quarter as peers TI and STMicro have noted a clear and durable acceleration in automotive demand and overall cyclical dynamics continue to improve.

Since last earnings, the stock has seen significant volatility concentrated in late June/early July which we believe was driven by excitement in Physical AI following ON's acquisition of Synaptics. While Allegro has clarified that material revenue from humanoid robotics is a 2030 opportunity, the company has continued to highlight customer engagement and design win activity. Peer TI flagged that Physical AI was one of the strongest areas within Industrial outside of A&D and energy, and greater detail may provide upside to the stock. **For earnings, we are focused on the following:**

1) Auto e-Mobility momentum. Auto was flat sequentially in MarQ due largely to seasonal CNY impacts. For JunQ, MSe is +2.1% q/q (+16.0% y/y) to \$167mn, with further acceleration in SepQ to \$174mn (+4.0% q/q, +11.7% y/y). Lean OEM inventories and continued PHEV/BEV content gains support the recovery. TI reported auto up mid-teens y/y and upper-single digits q/q in JunQ, characterizing demand as "everywhere" and noting "a cycle that is very, very broad," led by China EVs/hybrids and unsustainably low customer inventory levels. STM reported auto up 16% y/y and 14% q/q in Q2, with design momentum building across OEM and Tier 1 ecosystems in onboard chargers, powertrain and ADAS.

2) Data Center momentum and progress on the current sensor ramp. Data center reached ~14% of MarQ revenue (up from ~10% in DecQ), and mgmt guided it to reach 16-17% of revenue in JunQ - a new record, implying 20-25% sequential growth. The fastest-growing component is now current sensors, which represented 18% of data center shipments in MarQ (up from zero at the start of FY26), driven by content gains replacing resistors in power racks. Data center and broader Industrial momentum remains according to peers. Critically, current sensors are one of Allegro's higher-margin products - previously data center was margin dilutive driven by motor drivers, but as current sensor mix increases, data center GM is approaching fleet average and is expected to exceed it in the back half of FY27.

ON (++, reporting after the market close on Monday, August 3rd): Expectations have moderated following the stock's sell-off along with power semi peers. While the company reiterated 2Q guidance, we still see potential for a beat and raise as the setup is more favorable than it appears given +ve peer read-throughs. **For the print, we are focused on:**

1.) Power market recovery: STMicro's 2Q26 earnings call this week highlighted that SiC revenue grew low-teens year-over-year and mid-30s% quarter-over-quarter in 2Q, supported by a book-to-bill well above 1 and a growing backlog - with mgmt confirming SiC revenues will grow double-digit in 2026 versus 2025 based on existing design wins and backlog. STM also noted confidence in a strong 2026, citing *"on top of ADAS, SiC, sensor, general-purpose micro, clearly, AI infrastructure and low-earth-orbit satellite will be a very strong contributor to the performance of ST in 2026,"* along with improving demand in SiC-based power solutions for data center and continued traction in auto design wins. We do believe the broader power market environment has improved, which could have positive netting effects for 2H if replenishment remains muted or does not materialize as expected.

2.) GM% expansion: As of 4Q25, ON had ~700bps of GM% headwinds as a result of underutilization charges (driven by topline). The company gave guidance toward an uptick in utilization in 1Q - which came in at 77%, up from 68% - and an expected trend toward the mid-70s% for the year with progression weighted toward 2H, with utilization guided flat to up slightly in 2Q. With ON already having announced \$200-\$300mn of impairment charges to be recognized through 1H of this year, an associated \$45-\$50mn depreciation benefit in 2026 hitting the P&L in 2H as inventory bleeds through, pricing actions now offsetting input cost headwinds in 2H, and the July 7 announcement of two fab divestitures expected to generate ~\$35mn in annual cost savings starting in 2027, we do see upside toward the year's GM% with the potential for a 4-handle (vs. MSe and Street at 39.6%), which we would see as a surprise relative to buy-side expectations.

AlphaSignals Earnings Preview

Focus KPI	Focus KPI Surprise	Likely impact to consensus EPS*
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Skyworks Solutions Inc SWKS.O

Mobile Revenue — In-line — Largely unchanged

- Skyworks has continued to execute well despite a challenging smartphone environment, and we see a relatively balanced setup heading into the June-quarter print.

Qualcomm Inc. QCOM.O

September Revenue ⬇️ Likely downside surprise — Largely unchanged

- Handset fundamentals remain challenged, but the \$5bn FY27 data center target could materially accelerate Qualcomm’s diversification.

Amkor Technology Inc AMKR.O

SepQ GM% — In-line — Largely unchanged

Allegro Microsystems Inc ALGM.O

JunQ & SepQ Auto & Data Center Revenue ⬆️ Likely upside surprise ⬆️ Modest revision higher

ON Semiconductor Corp. ON.O

SepQ GM% & Data Center Revenue ⬆️ Likely upside surprise ⬆️ Modest revision higher

Navitas Semiconductor Corp NVT.S.O

SepQ High-Power Revenue — In-line — Largely unchanged

NXP Semiconductor NV NXPI.O

JunQ & SepQ Auto Revenue ⬆️ Likely upside surprise ⬆️ Modest revision higher

*Likely impact to consensus EPS is for the next 12 months
Source: Company data, Morgan Stanley Research

AMKR Earnings Preview

The company is scheduled to report after the market close on Monday, July 27th.

Looking for additional details on the NVIDIA and TSMC deals and the pace of GM% expansion. With the stock up 50% YTD and advanced packaging continuing to see momentum, the focus around the Arizona opportunity has continued to intensify throughout the quarter. The Analyst Day in May provided greater clarity on the Arizona build-out, though we continue to view estimate revisions as more likely to be driven by later in the year - particularly around the HDFO ramp cadence and the 2H margin bridge. **For the print, we're focused on:**

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Details on the June quarter: We model revenue of \$1,810mn (up 7.4% q/q and up 19.8% y/y), in-line with the street at \$1,811 mn. We model gross margin/EPS of 15.1%/\$0.46, in-line with the street at 15.2%/\$0.47.

September quarter outlook: We model revenue of \$2,026 mn (up 11.9% q/q and 2% y/y), below street at \$2,098mn. We model gross margin/EPS of 16.3%/\$0.59, below the street at 17.4%/\$0.63.

Exhibit 1: AMKR: MS vs. Cons

MS vs. Consensus								
Figures in \$ MM								
	F2Q26E		F3Q26E		FY2026E		FY2027E	
	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.
Revenues	1,810	1,811	2,026	2,098	7,570	7,644	8,436	8,503
Q/Q Change	7.4%	7.5%	11.9%	15.9%				
GMs	15.1%	15.2%	16.3%	17.4%	15.9%	16.0%	18.0%	17.1%
EPS	\$0.46	\$0.47	\$0.59	\$0.63	\$2.07	\$2.11	\$2.29	\$2.42

Source: FactSet, Morgan Stanley Research estimates

Risk Reward – Amkor Technology Inc (AMKR.O)

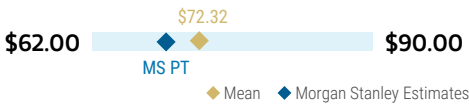
OSAT industry inflection point, but elevated valuation keeps us EW

PRICE TARGET \$69.00

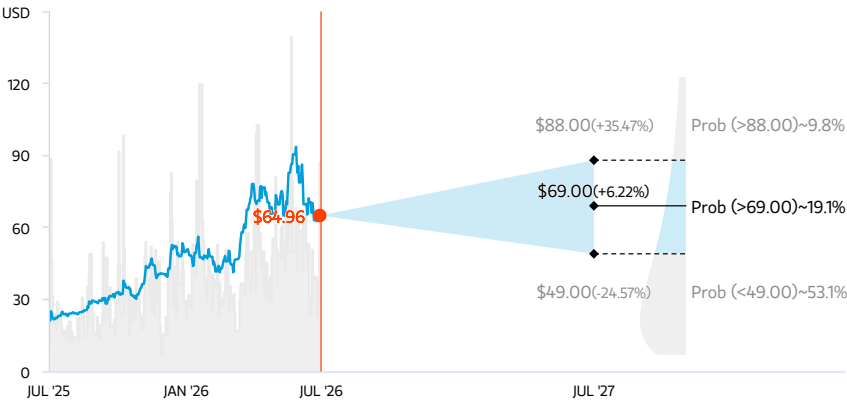
We value Amkor at 30x non-GAAP P/E on our 2027 EPS estimate of \$2.30, a 30% premium to peers ASE and KYEC.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



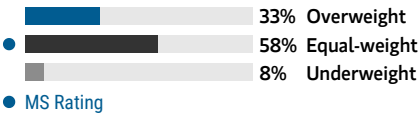
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 24 Jul 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#).

EQUAL-WEIGHT THESIS

- The OSAT industry is at a transformational moment with AI and advanced packaging poised to drive demand.
- We see multiple expansion from the Arizona facility and 2.5D capacity as an attractive opportunity but in the near-term earnings will have to drive the stock.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

- New Data Era: Positive
- Pricing Power: Negative
- Technology Diffusion: Positive

View descriptions of Risk Rewards Themes [here](#)

BULL CASE	\$88.00	BASE CASE	\$69.00	BEAR CASE	\$49.00
33x 2027e non-GAAP EPS of \$2.66		30x 2027e non-GAAP EPS of \$2.30		26x 2027e non-GAAP EPS of \$1.87	
Assume a better than expected semiconductor market recovery as well as market share gain led by advanced packaging, thus meriting a higher multiple.		Assume a moderate semiconductor market recovery, with multiple based on early-cycle valuation.		Assume a weaker than expected semiconductor market recovery, with lower utilization, thus meriting a lower multiple.	
-Revenue growth of 19.2% in 2026		-Revenue growth of 11.4% in 2027		-Flat revenue growth in 2027	
-GM improves to 18.3% in 2026		-GM improves to 18.0 in 2027		-GM improves to 17.7% in 2027	

Risk Reward – Amkor Technology Inc (AMKR.O)

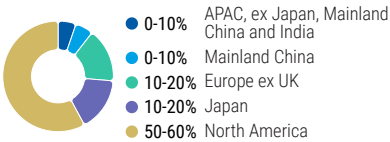
KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
Revenue (\$, mm)	6,708.0	7,569.6	8,435.8	9,158.6
Gross Margin (%)	14.0	15.9	18.0	17.5
EPS (\$)	1.51	2.07	2.30	2.97

INVESTMENT DRIVERS

- Top-line growth driven by high-end smartphones, communications, and compute.
- Gross margin expansion as the company benefits from a semiconductor market recovery (higher utilization) as well growth in advanced packaging (higher pricing).

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

3/5 BEST	24 Month Horizon	3/5 MOST	3 Month Horizon
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Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Better than expected semiconductor market recovery.
- Company wins 2.5D/3D advanced packaging market share.
- Better than expected high-end smartphone market growth.

RISKS TO DOWNSIDE

- Weaker than expected semiconductor market recovery.
- Company loses share at key customers.
- High-end smartphone market recovery slower than expected.

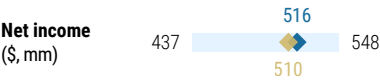
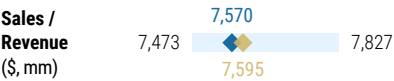
OWNERSHIP POSITIONING

Inst. Owners, % Active	40.2%	
HF Sector Long/Short Ratio	2.1x	
HF Sector Net Exposure	29.5%	

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure – Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e



◆ Mean ◆ Morgan Stanley Estimates
Source: Refinitiv, Morgan Stanley Research

Navitas Earnings Preview

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Details on the June quarter: We model revenue of \$10.0mn, up 16.3% q/q, in-line with the Street at \$10.0mn. Our gross margin/EPS estimate of 40.7%/(\$0.04) is also in-line with the Street at 38.8%/(\$0.04).

September quarter outlook: We model revenue of \$11.4mn, up 14.5% q/q, slightly above the Street at \$11.1mn. Our gross margin/EPS estimate of 41.0%/(\$0.04) is broadly in-line with the Street at 39.2%/(\$0.04).

Exhibit 2: NVTS: MS vs. Cons

MS vs. Consensus

Figures in \$ MM

	F2Q26E		F3Q26E		2026E		2027E	
	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.
Revenues	10.0	10.0	11.4	11.1	43.2	42.4	66.0	72.9
Q/Q Change	16.3%	16.0%	14.5%	10.9%				
Non-GAAP GMs	40.7%	38.8%	41.0%	39.2%	40.6%	39.0%	42.1%	41.5%
Non-GAAP EPS	\$ (0.04)	\$ (0.04)	\$ (0.04)	\$ (0.04)	\$ (0.17)	\$ (0.17)	\$ (0.17)	\$ (0.14)

Source: FactSet, Morgan Stanley Research estimates

Risk Reward – Navitas Semiconductor Corp (NVT.S.O)

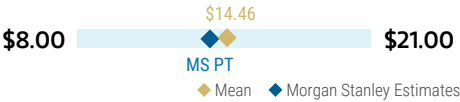
WBG market increasingly more competitive

PRICE TARGET \$13.70

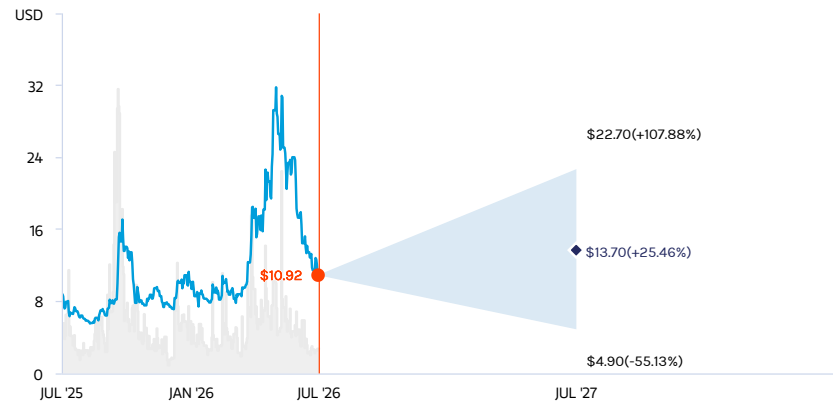
We value Navitas on 50x CY2027 revenue, a premium to SMID cap GaN peers to reflect 800V optionality.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART



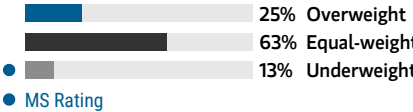
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

UNDERWEIGHT THESIS

- The GaN market is increasingly looking more competitive, with STMicro, Infineon, and Renesas all making inroads into GaN via acquisitions and partnerships. While these larger players may expedite the adoption of GaN in markets outside smartphone chargers and expand the TAM, we expect these opportunities to be captured by more established power semi providers rather than Navitas given their supply assurance and automotive qualification experience.
- NVDA's 800V AI server racks are an enticing opportunity, but given competition and timeline, we think it is too early to fully price in this opportunity.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Special Situation: Positive
Technology Diffusion: Positive

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

\$22.70

70x CY2027 revenue of \$79.3mn

GaN & SiC adoption progresses in automotive and data center, and a smartphone market recovery accelerates Navitas' revenue growth. Navitas' GaN business growth outpaces the market and the company gains market share at NVDA's 800V AI server racks.

-CY2027 revenue of \$79.3mn (+83% y/y)

BASE CASE

\$13.70

50x CY2027 revenue of \$66mn

Navitas' GaN & SiC business continue to struggle due to increased competition from large players. Navitas is only able to capture marginal share at NVDA's 800V AI server racks.

-CY2027 revenue of \$66mn (+53% y/y)

BEAR CASE

\$4.90

20x CY2027 revenue of \$52.8mn

Competitors threaten Navitas' market share by rolling out lower ASP products, subsequently pressuring Navitas' market share and margins. Growth in SiC business slows due to increased competition. Navitas is unable to capture any share at NVDA's 800V AI server racks.

-CY2027 revenue of \$52.8mn (+22% y/y)

Risk Reward – Navitas Semiconductor Corp (NVT.S.O)

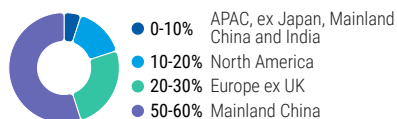
KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
Net Revenue (\$, mm)	45.9	43.2	66.0	97.3
Gross Profit (\$, mm)	17.4	17.0	26.9	40.8
EPS	(0.20)	(0.17)	(0.17)	(0.21)

INVESTMENT DRIVERS

- Increasing adoption of GaN ICs in consumer, automotive, and data center end markets.
- Smartphone market growth and increased GaN IC adoption.
- Profitability driven by revenue growth.

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

5/5 BEST	24 Month Horizon	5/5 MOST	3 Month Horizon
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Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Smartphone market growth stronger than anticipated.
- NVT.S gains market share at NVIDIA's 800V server racks.

RISKS TO DOWNSIDE

- New market participants threaten Navitas' market share or drive down ASP and pressure margin.
- Slower than anticipated GaN adoption in ex-smartphone markets.
- Key GaN customers increasingly dual-or-multi source.

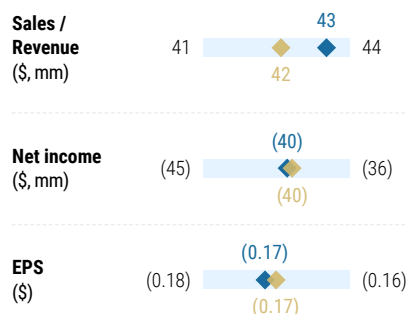
OWNERSHIP POSITIONING

Inst. Owners, % Active	39.7%				
HF Sector Long/Short Ratio	2.1x				
HF Sector Net Exposure	29.5%				

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e



◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

NXPI Earnings Preview

The company is scheduled to report after the market close on Tuesday, July 28th.

We expect NXP to report an above-consensus JunQ and SepQ guide as peer read-throughs have been quite strong. In our [2Q26 Distributor Survey](#), auto expectations were notably mixed relative to Industrial, with respondents recording weaker-than-seasonal expectations increasing from 6% to 15%. That said, after overall strong results from [TI](#) and [STMicro](#) last week - with auto in particular outperforming (+HSD% q/q for TI and +14% q/q for STMicro) - the setup for NXP's print has become more de-risked. More broadly, TI reported a beat and raise, characterizing this point in time as "the start of a cycle that is very, very broad." STMicro similarly beat its JunQ guide, led by auto and Industrial, book-to-bills close to 2 overall, and distribution inventory now below its standard target. With NXP having guided 2Q26 revenue of \$3.45bn (+18% y/y, +8% q/q) and auto at +HSD q/q, the peer data de-risks the JunQ guide and raises the bar for a SepQ raise. What we are focused on for earnings:

1. Lead times and supply tightness: TI confirmed lead times ticked up a couple of weeks in 2Q26 - from below 13 weeks to slightly above - "simply because the demand is growing," with competitors now quoting 52-week lead times. Additionally, CEO Haviv Ilan called out auto dynamics: *I think our automotive customers have taken their inventory to very low levels. And now, as there is a little bit more demand, they find themselves in a situation that is not sustainable. I think that also drove part of the demand.* Backlog built throughout 2Q26 for both immediate and forward shipment, with short lead time orders a meaningful driver of TI's above-range result. For NXP, which at 1Q26 noted "slight bottlenecks in certain parts of the supply chain" and was already taking selective pricing adjustments, the TI data suggests tightness has intensified further through the quarter - any commentary on lead time extension or escalating customer urgency would be a meaningful positive signal for 2H visibility.

2. Automotive strength driven by China EV/hybrid momentum: TI's automotive inflection was led by China EVs/hybrids, with demand having "developed throughout the quarter" - not visible at the April call and building as the quarter progressed, suggesting the cycle is still early. STMicro confirmed automotive performed "above what we expect and what the market is expecting," guiding the segment to grow ~13-14% y/y for the full year. The read-through for NXP is particularly strong: unlike TI's analog/power-heavy auto exposure, NXP's growth is driven by SDV architecture transitions - S32N, S32K5, imaging radar, 10-gigabit Ethernet - which are content-per-vehicle stories independent of SAAR. NXP's accelerated growth drivers were already north of 4-5% of auto revenue in 1Q26 and growing double digits, positioning it to capture the tailwinds seen by TI and STMicro.

Details on the June quarter: We model revenue of \$3.486bn, up 9.6% q/q and up 19.1% y/y, slightly above the Street at \$3.466bn. We forecast Automotive sales to be up 10.0% q/q and up 13.4% y/y, Industrial & IoT to be up 18.0% q/q and up 35.7% y/y, Mobile to be down 12.0% q/q and up 4.0% y/y, and Communications to be up 16.0% q/q and up 37.8% y/y. We estimate gross margin and EPS of 58.0%/ \$3.57, in-line with the Street at 57.9%/ \$3.52.

September Quarter Outlook: We estimate revenue of \$3.706bn, up 6.3% q/q and up 16.8% y/y, in-line with the Street at \$3.706bn. We forecast Automotive sales to be up

6.0% q/q and up 13.1% y/y, Industrial & IoT to be up 4.0% q/q and up 33.1% y/y, Mobile to be up 16.0% q/q and down 7.2% y/y, and Communications to be up 4.0% q/q and up 40.2% y/y. We estimate gross margin and EPS of 58.7%/\$4.08, in-line the Street at 58.7%/\$4.03.

Exhibit 3: NXPI: MS vs. Cons

MS vs. Consensus

Figures in \$ MMs

	F2Q26E		F3Q26E		2026E		2027E	
	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.
Revs.	3,486	3,466	3,706	3,706	14,138	14,136	15,557	15,680
Q/Q Δ%	9.6%	9.0%	6.3%	6.9%				
Non-GAAP GMs	58.0%	57.9%	58.7%	58.7%	58.4%	58.3%	59.8%	59.7%
Non-GAAP EPS	\$3.57	\$3.52	\$4.08	\$4.03	\$14.96	\$14.85	\$18.51	\$17.94

Source: FactSet, Morgan Stanley Research estimates

Risk Reward – NXP Semiconductor NV (NXPI.O)

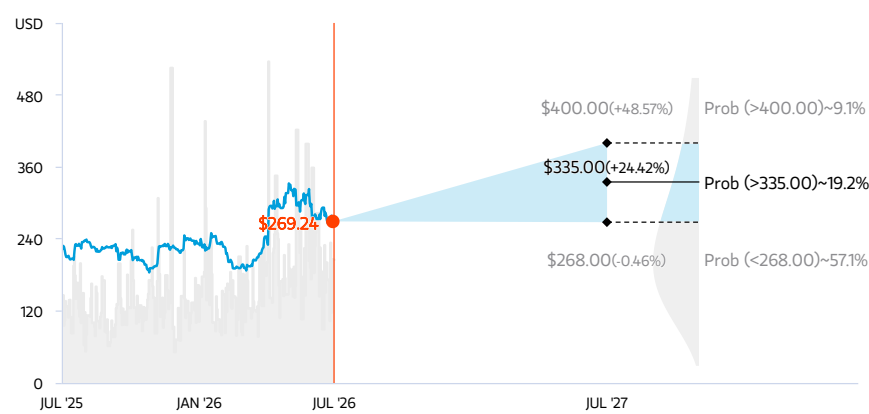
OW as cyclical and idiosyncratic tailwinds align

PRICE TARGET \$335.00

Our PT represents 18x our CY27 Non-GAAP EPS estimate, a slight premium to the company's historical average and auto semi peers which we think is justified given the company's downcycle management and set up to outperform peers in 2026/2027.



RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)

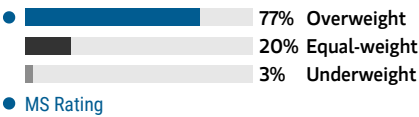


Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 24 Jul 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

OVERWEIGHT THESIS

■ We remain OW NXP on the back of: 1) **NXP should outperform Auto semis in 2026** as auto joins other end markets in a recovery. 2) **Structural improvements to the business:** NXP has multiple levers to improve gross margin from here (channel shipments, internal utilization, and overall revenue growth); and 3) **Favorable MCU set up into 2026** as momentum acceleration appears likely to inflect.

Consensus Rating Distribution



Risk Reward Themes

Electric Vehicles: *Positive*
Self-help: *Positive*
View descriptions of Risk Rewards Themes [here](#)

BULL CASE	\$400.00	BASE CASE	\$335.00	BEAR CASE	\$268.00
20x CY27e Non-GAAP EPS of \$20.02		18x CY27e Non-GAAP EPS of \$18.61		16x CY27e Non-GAAP EPS of \$16.76	
Our Bull case assumes GM expansion driven by ongoing automotive strength, stronger data center ramps, and share gains within general purpose and Auto MCUs.		We see a revenue recovery in 2026 and a modest deceleration in 2027..		Macro environment weakens and the company faces increased competitive pressures. Operating margins and gross margins fall far below its target model.	
- We forecast 13.6% revenue growth in CY27		- 15.2% growth in CY26 and 10% growth in CY27.		- 2.3% revenue growth in CY27	
- Gross margin of 60.6% and EPS of \$20.02 in CY27		- GM of 58% in CY26 and 59.3% in CY27		- Gross margin of 58.1% and EPS of \$16.76 in CY27	
		- Non-GAAP EPS of \$15.03 in CY26 and \$18.61 in CY27			

Risk Reward – NXP Semiconductor NV (NXPI.O)

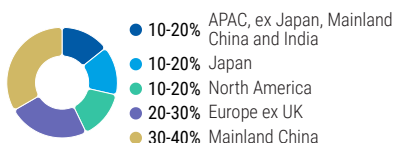
KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
GAAP Revenue (\$, mm)	12,269	14,138	15,557	16,407
MW Gross Margin (%)	56.3	58.0	59.3	60.5
MW EPS (\$)	10.01	13.30	16.66	19.16
Inventory (\$, mm)	2,577	2,563	2,590	2,545
DOI	169.4	155.4	146.8	141.6

INVESTMENT DRIVERS

- Key auto drivers (BMS, radar, high-end processors) see growth accelerate
- Increasing \$ content in automotive, supporting HSD% growth in that market long term
- Margin expansion on the back of manufacturing and portfolio optimization

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

4/5 BEST	24 Month Horizon	4/5 MOST	3 Month Horizon
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Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Increasing momentum in auto growth drivers (BMS, radar & high-end processors)
- Stronger than expected data center ramps from design wins
- Gross margin expands to the low-60s on the back of manufacturing and portfolio optimization

RISKS TO DOWNSIDE

- Increased competition in auto slows growth
- Industrial & IoT downturn extends longer than anticipated
- Weakness in consumer end-markets

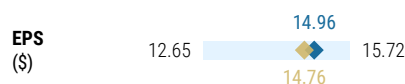
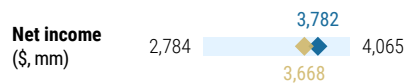
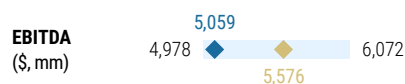
OWNERSHIP POSITIONING

Inst. Owners, % Active	59.8%	
HF Sector Long/Short Ratio	2.1x	
HF Sector Net Exposure	29.5%	

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e



◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

SWKS Earnings Preview

The company is schedule to report after the market close on Tuesday, July 28th.

Skyworks has continued to execute well despite a challenging smartphone environment, and we see a relatively balanced setup heading into the June-quarter print. We model mobile revenue declining ~4% q/q, consistent with management's outlook for an LSD decline, with Broad Markets remaining relatively stable. Apple demand appears to be the most resilient part of the smartphone market, and our hardware team does not anticipate any meaningful changes in iPhone builds in the C2H (Apple covered by Erik Woodring). Given Skyworks' concentration in premium smartphones, we believe the company should hold up better than suppliers with greater exposure to lower-end devices, although rising memory costs and the resulting pressure on handset pricing and demand remain an industry-wide headwind to watch. Blended RF content at Apple should remain roughly flat near term.

Looking to September, we model total revenue increasing 10% q/q, including mobile growth of 16%. Mobile growth is slightly below seasonal, which is typically ~20% q/q, but we are remaining conservative given memory-related cost inflation that is a significant risk, and September iPhone builds that are tracking below seasonal, which may be partly due to Apple's staggered launch. We continue to view the Qorvo acquisition positively, with management targeting an early-2027 close or possibly late 2026.

Details on the quarter: For the June quarter, we model revenue of \$925mn, down 2.0% q/q and 4.1% y/y, broadly in line with the Street. By segment, we model Mobile revenue of \$525.5mn and Broad Markets revenue of \$399.5mn. We model non-GAAP gross margin of 45.0% and EPS of \$1.05, both broadly in line with the Street.

Next-quarter outlook: For the September quarter, we model revenue of \$1.013bn, up 9.5% q/q and down 7.9% y/y. By segment, we model Mobile revenue of \$609.5mn, up 16% q/q, and Broad Markets revenue of \$403.5mn, up 1% q/q. We model non-GAAP gross margin of 45.8% and EPS of \$1.30, both broadly in line with the Street.

Exhibit 4: SWKS: MS vs. Cons

MS vs. Consensus								
Figures in \$ MM								
	F3Q26E		F4Q26E		2026E		2027E	
	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.
Revenues	925.0	926.0	1,013.0	1,026.2	3,917.1	3,922.0	4,073.4	4,017.6
Q/Q Change	-2.0%	-1.9%	9.5%	10.8%				
GMs	45.0%	45.0%	45.8%	45.8%	45.6%	45.7%	46.4%	46.8%
EPS	\$1.05	\$1.03	\$1.30	\$1.29	\$5.04	\$4.99	\$5.38	\$5.15

Source: FactSet, Morgan Stanley Research estimates

Risk Reward – Skyworks Solutions Inc (SWKS.O)

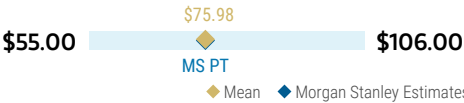
Content growth opportunities long term, but EW on customer concentration

PRICE TARGET \$76.00

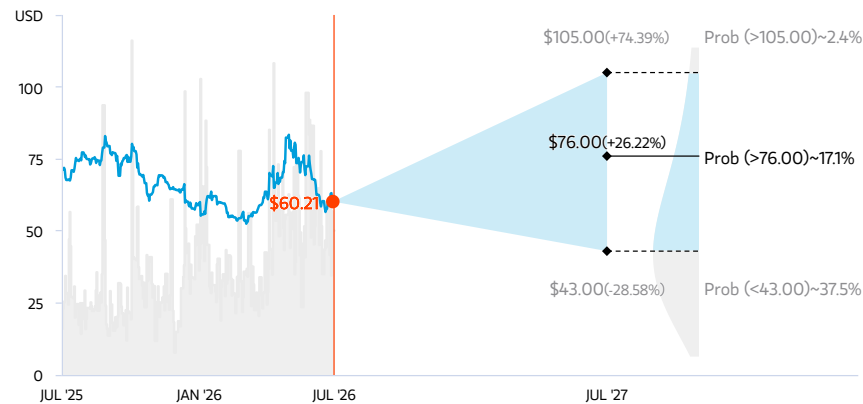
With the deal synergies, we believe that combined CY27 EPS would be about \$7, vs. our standalone \$5.62, so this would be about ~13x the combined entity. Given some deal risk and synergy uncertainties, we would prefer to value on standalone EPS with a 13.5x multiple.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



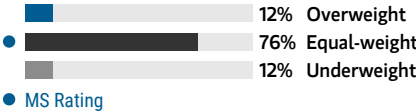
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 24 Jul 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

EQUAL-WEIGHT THESIS

- SWKS announced an acquisition of RF Peer QRVO, expected to close in CY27. The deal is expected to be accretive and help strengthen mobile technologies and expand scale.
- We like the long term growth story at Skyworks, encouraged by Wi-Fi 7 IoT upgrade cycles and emerging auto business. Near term the company is seeing share loss with its top customer Apple, and we think it will also be important to broaden its exposure. The broad markets business is seeing a recovery from inventory imbalance and reduced end demand
- We see valuation upside if the broad markets business were to make up a larger proportion of the business, or if the company's mobile business is able to capture demand in China.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

BULL CASE	\$105.00	BASE CASE	\$76.00	BEAR CASE	\$43.00
16X CY27 Non-GAAP EPS of \$6.58		13x CY27 EPS of \$5.62		8X CY27 Non-GAAP EPS of \$5.34	
The SWKS/QRVO acquisition occurs. Revenue growth comes in above our expectations as a broader smartphone recovery leads to greater \$ content and smartphone unit growth. Gross margins improve towards SWKS' target model, WiFi 7/8 upgrades benefit Broad Markets, and cash returns to shareholders boost the multiple.		Skyworks posts 8% decline in CY26 and 2.1% revenue growth in CY27. Broad markets outgrows corporate avg and Apple content flat.		The acquisition deal is canceled. Skyworks loses significant share at Apple, and the company fails to diversify. The stock's valuation multiple de-rates further.	

Risk Reward – Skyworks Solutions Inc (SWKS.O)

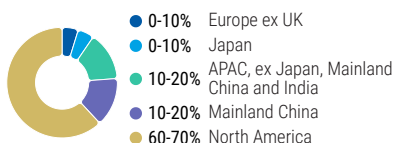
KEY EARNINGS INPUTS

Drivers	Sep 2025	Sep 2026e	Sep 2027e	Sep 2028e
GAAP Revenue (\$, mm)	4,087	3,765	3,889	4,273
MW Gross Margin (%)	45.9	44.6	45.8	46.6
MW EPS (\$)	4.51	2.68	2.82	3.74
Inventory (\$, mm)	755	759	768	858
DOI	114.5	130.5	133.1	137.1

INVESTMENT DRIVERS

- Faster than expected growth in broad markets, including contribution from the SLAB I&A acquisition.
- Increasing cash returns to shareholder, including buybacks and dividend growth
- Continued content gains at Apple

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

3/5 BEST	24 Month Horizon	4/5 MOST	3 Month Horizon
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Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- SWKS/QRVO acquisition approved
- Captures greater \$ content in 5G smartphones
- Potential to regain share in China after a weak period
- Increased expansion of Broad Markets portfolio

RISKS TO DOWNSIDE

- SWKS/QRVO acquisition canceled
- Increasing competition and China localization efforts in RF
- Customer concentration and potential pricing pressure from Apple (~60% of total sales)
- If GM fails to recover to near-term target

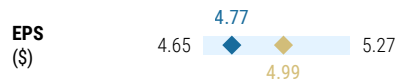
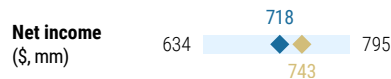
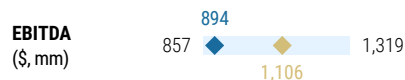
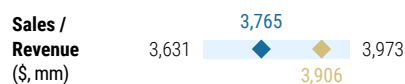
OWNERSHIP POSITIONING

Inst. Owners, % Active	41.2%	
HF Sector Long/Short Ratio	2.1x	
HF Sector Net Exposure	29.5%	

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Sep 2026e



◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Qualcomm Earnings Preview

The company is scheduled to report after the market close on Wednesday, July 29th.

We moved off Underweight after Qualcomm's data center investor day, as the \$5bn FY27 target made the diversification story far more tangible. Handsets remain under pressure from Android weakness, memory inflation and Apple modem share loss, but the debate has shifted to whether data center can scale fast enough to offset those headwinds. We expect challenging handset fundamentals for the next few quarters.

Double-digit chipset pricing could cushion the Android downturn. We model June handset revenue of \$4.9bn, in line with guidance, with management calling June the bottom for China Android. Bloomberg reported that Qualcomm is raising chipset prices by double digits to offset higher costs, which should support margins, though the benefit will take time and could further pressure demand. We model flattish Android revenue in September and see limited recovery thereafter, with weakness broadening beyond the low end. Qualcomm should outperform given its premium mix, but we remain below consensus for September at \$9.5bn of revenue (1.5% q/q and -15.5% y/y), including \$4.6bn of handset revenue (-7% q/q and -33% y/y). Apple share loss also becomes more material, with Qualcomm's share of iPhone units falling from roughly 70% in September to 40% in December, though this is well understood. We updated our model to reflect our hardware team's latest Apple assumptions and our revised expectations for Qualcomm's share, with no material change to our full-year estimates.

Diversification is gaining traction, with automotive as the foundation and data center the key swing factor, with possible Trainium participation. Automotive should remain a bright spot, with Qualcomm on track to exit FY26 at approximately a \$6bn revenue run rate according to the latest guidance. In data center, the \$5bn FY27 target appears largely driven by custom silicon, including at least two \$1bn-plus programs, with little contribution from Qualcomm's own CPU or merchant accelerator products. Alphawave's existing wins should be a meaningful part of the ramp. Qualcomm also continues to develop a custom AI XPU for ByteDance that uses LPDDR rather than HBM, with shipments expected next year. We have also heard Qualcomm could receive a portion of the Trainium opportunity alongside Marvell and Alchip, potentially supported by its access to 3nm wafers. Qualcomm remains our least-preferred AI exposure and the longer-term roadmap is still a show-me story, but \$5bn in FY27 would materially help fill the handset hole and validate the diversification strategy.

Details on the June Quarter: We model revenue of \$9.6bn, down 8.8% q/q and 6.7% y/y, broadly in line with the Street at \$9.7bn. By segment, we model QCT revenue of \$8.4bn, down 7.0% q/q and 6.2% y/y, and QTL revenue of \$1.2bn, down 10.9% q/q and 6.6% y/y. Our gross margin estimate of 56.0% is 40bps above consensus at 55.6%, while our EPS estimate of \$2.18 is slightly below the Street at \$2.23.

Details on the September Quarter: We model revenue of \$9.5bn, down 1.5% q/q and 15.2% y/y, roughly \$500mn below the Street at \$10.0bn. By segment, we model QCT revenue of \$8.3bn, down 1.7% q/q and 15.6% y/y, and QTL revenue of \$1.2bn, roughly flat q/q and down 12.7% y/y. Our gross margin estimate of 55.6% is broadly in line with consensus at 55.5%, while our EPS estimate of \$2.10 is below the Street at \$2.37.

Exhibit 5: QCOM: MS vs. Cons**MS vs. Consensus***Figures in \$ MMs*

	2026/3F		2026/4F		FY2026E		FY2027E	
	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.
Revs.	9,671.2	9,680.5	9,522.8	10,034.6	42,045	42,601	46,014	44,267
Q/Q Δ%	-8.8%	-8.7%	-1.5%	3.7%				
GMs	56.0%	55.6%	55.6%	55.5%	55.4%	55.2%	53.8%	54.5%
EPS	\$ 2.18	\$ 2.23	\$ 2.10	\$ 2.37	\$ 10.45	\$ 10.77	\$ 10.44	\$ 10.90

Source: Factset, Morgan Stanley Research

Risk Reward – Qualcomm Inc. (QCOM.O)

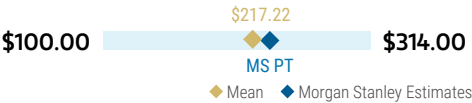
Key edge AI enabler, but wide range of outcomes with smartphone and data center

PRICE TARGET \$231.00

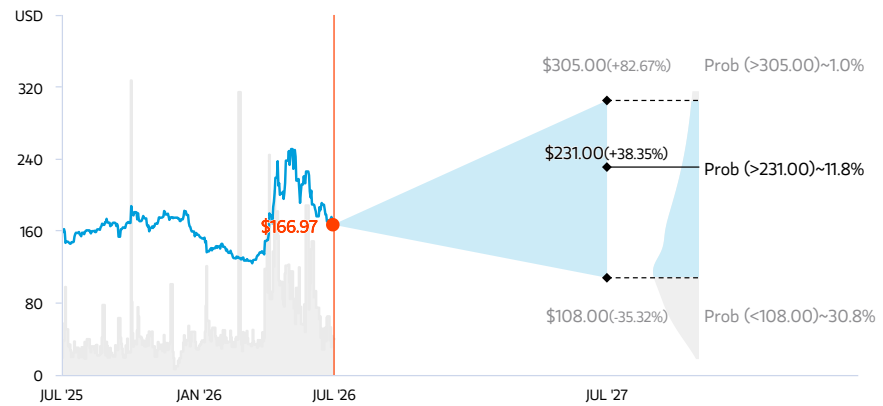
We use a 28x MW PE multiple on \$8.25 in CY2027 earnings (includes stock based compensation). This is roughly 17x Non-GAAP EPS of \$11.46. This is close to the midpoint of their historical range.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



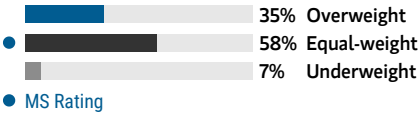
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 24 Jul 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

EQUAL-WEIGHT THESIS

- Handset volumes seem likely to be pressured by severe memory shortage, starting at the low end and becoming more pervasive as the year goes on
- Diversification into automotive has been very strong, and new data center initiatives look promising near-term but remain a show-me story longer-term
- The data center AI opportunity is obviously so large that even a modicum of success can make a difference even to a larger company like Qualcomm, but getting to critical mass is also very difficult. We are watching developments here closely.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

BULL CASE	\$305.00	BASE CASE	\$231.00	BEAR CASE	\$108.00
33X Base Case CY26 MW EPS of \$9.23		28x CY27 MW EPS of \$8.25		20X Bear Case CY26 MW EPS of \$5.42	
Exposure to premium market shields QCOM from most of memory headwinds. Autos, IoT, and Data Center scale quickly to diversify away from the smartphone market.		While we are expecting a muted smartphone cycle from memory constraints, the new data center revenue is offsetting headwinds. We are valuing it at the midpoint of their historic range.		Memory constraints worse than expected, smartphone is pressured even at the high end. Diversification story fails to develop.	

Risk Reward – Qualcomm Inc. (QCOM.O)

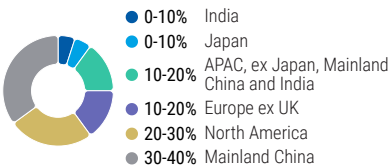
KEY EARNINGS INPUTS

Drivers	Sep 2025	Sep 2026e	Sep 2027e	Sep 2028e
GAAP Revenue (\$, mm)	44,283	42,045	46,014	55,243
Non-GAAP Gross Margin (%)	55.9	55.4	53.8	54.1
Non-GAAP EPS (\$)	12.05	10.45	10.44	13.62
Inventory (\$, mm)	6,526	5,758	8,204	8,683
DOI (\$)	122.3	112.0	140.9	124.9

INVESTMENT DRIVERS

- Smartphone market growth and Qualcomm's share in chipsets
- Revenue diversification (automotive & IoT) beyond handsets

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

4/5 BEST	24 Month Horizon	3/5 MOST	3 Month Horizon
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Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Memory constraints ease faster than expected
- Android market is more resilient
- Apple transition is slow
- Non-handset business scales faster than expected

RISKS TO DOWNSIDE

- Smartphone memory headwinds worse than expected
- Apple internal silicon timeline brought forward
- Share loss to competitors
- Diversification story fails to develop

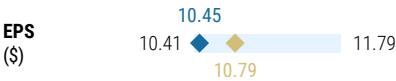
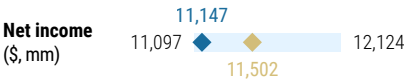
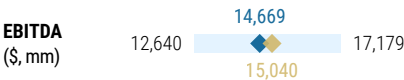
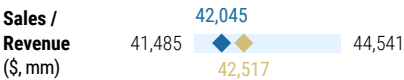
OWNERSHIP POSITIONING

Inst. Owners, % Active	39.6%	
HF Sector Long/Short Ratio	2.1x	
HF Sector Net Exposure	29.5%	

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Sep 2026e



Source: Refinitiv, Morgan Stanley Research

Allegro Microsystems Earnings Preview

The company is scheduled to report before the market open on Thursday, July 30th.

Strong quarter with continued secular momentum expected, but the bar has risen. We expect Allegro to come in at the high end of its JunQ revenue range with a strong SepQ guide. Following last quarter which was squarely in-line amidst exceptionally high expectations, Allegro is expected to report near the high-end of guidance this quarter as peers TI and STMicro have noted a clear and durable acceleration in automotive demand and overall cyclical dynamics continue to improve.

Since last earnings, the stock has seen significant volatility concentrated in late June/early July which we believe was driven by excitement in Physical AI following ON's acquisition of Synaptics. While Allegro has clarified that material revenue from humanoid robotics is a 2030 opportunity, the company has continued to highlight customer engagement and design win activity. Peer TI flagged that Physical AI was one of the strongest areas within Industrial outside of A&D and energy, and greater detail may provide upside to the stock.

For earnings, we are focused on the following:

1) Auto e-Mobility momentum. Auto was flat sequentially in MarQ due largely to seasonal CNY impacts. For JunQ, MSe is +2.1% q/q (+16.0% y/y) to \$167mn, with further acceleration in SepQ to \$174mn (+4.0% q/q, +11.7% y/y). Lean OEM inventories and continued PHEV/BEV content gains support the recovery. TI reported auto up mid-teens y/y and upper-single digits q/q in JunQ, characterizing demand as "everywhere" and noting "a cycle that is very, very broad," led by China EVs/hybrids and unsustainably low customer inventory levels. STM reported auto up 16% y/y and 14% q/q in Q2, with design momentum building across OEM and Tier 1 ecosystems in onboard chargers, powertrain and ADAS.

2) Data Center momentum and progress on the current sensor ramp. Data center reached ~14% of MarQ revenue (up from ~10% in DecQ), and mgmt guided it to reach 16-17% of revenue in JunQ - a new record, implying 20-25% sequential growth. The fastest-growing component is now current sensors, which represented 18% of data center shipments in MarQ (up from zero at the start of FY26), driven by content gains replacing resistors in power racks. Data center and broader Industrial momentum remains according to peers. Critically, current sensors are one of Allegro's higher-margin products - previously data center was margin dilutive driven by motor drivers, but as current sensor mix increases, data center GM is approaching fleet average and is expected to exceed it in the back half of FY27.

Details on the June quarter: We model revenue of \$253mn (up 4.0% q/q and 24.4% y/y), ahead of the street at \$251mn, and non-GAAP GM/EPS of 50.6%/\$0.21, slightly ahead/in line with the street at 50.3%/\$0.21. By segment, we model Automotive at \$167mn (up 2.1% q/q and 16.0% y/y) and Industrial at \$86mn (up 8.0% q/q and 44.8% y/y).

September quarter outlook: We model revenue of \$270mn (up 6.7% q/q and 26.0% y/y), ahead of the street at \$263mn, and non-GAAP GM/EPS of 51.4%/\$0.26, ahead of the street at 50.7%/\$0.24. By segment, we model Automotive at \$174mn (up 4.0% q/q and 11.7% y/y) and Industrial at \$96mn (up 12.0% q/q and 64.1% y/y).

Exhibit 6: ALGM: MS vs. Cons**MS vs. Consensus***Figures in \$ MMs*

	C2Q26E		C3Q26E		2026E		2027E	
	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.
Rev	253	251	270	263	1,048	1,024	1,247	1,205
Q/Q Change	4.0%	3.4%	6.7%	4.7%				
GMs	50.6%	50.3%	51.4%	50.7%	51.0%	49.8%	52.6%	51.3%
EPS	\$0.21	\$0.21	\$0.26	\$0.24	\$0.93	\$0.88	\$1.45	\$1.36

Source: FactSet, Morgan Stanley Research estimates

Risk Reward – Allegro Microsystems Inc (ALGM.O)

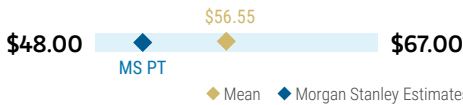
Recovery still below peak; secular growth vectors expanding

PRICE TARGET \$51.00

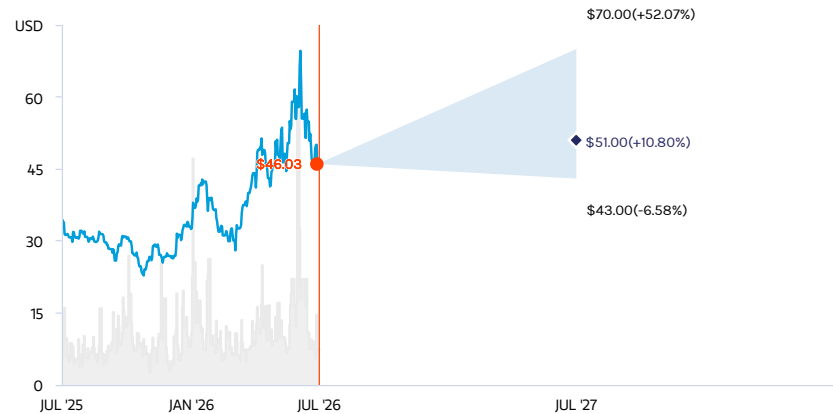
35x CY27 Non-GAAP EPS of \$1.45. Slight discount to the company's long-term average PE multiple since 2022, which is a premium to auto semi peers but in-line with higher gross margin analog/MCU companies.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART



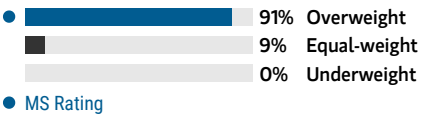
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

OVERWEIGHT THESIS

- We see scope for Allegro to outperform over the next several years as the recovery remains in an upcycle, with earnings power increasingly supported by incremental secular growth vectors in auto electrification and industrial.
- 35x is in-line with the company's average PE multiple since 2022, but is a premium to auto semi peers and in-line with higher gross margin analog/MCU companies.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

- Electric Vehicles: Positive
- Secular Growth: Positive
- Technology Diffusion: Positive

View descriptions of Risk Rewards Themes [here](#)

BULL CASE	\$70.00	BASE CASE	\$51.00	BEAR CASE	\$43.00
40x CY27 Non-GAAP EPS of \$1.76		35x CY27 Non-GAAP EPS of \$1.45		32x CY27 Non-GAAP EPS of \$1.33	
Growth well ahead of auto semis and analog/MCU, justifying a premium to the average PE multiple since 2022.		Allegro's revenue recovers ahead of the industry given a sharper correction in 2024. Both automotive and industrial end-markets see revenue growth in 2026-27.		More muted recovery as the company faces industry headwinds and increased competition in magnetic sensing.	
-Revenue grows 28.4% in 2027 as Allegro gains share due to technology differentiation.		-Revenue grows 24.9% in 2026 and 18.9% in 2027.		-Revenue grows 13% in 2027 due to industry headwinds and competition.	
-GPM% expands to 54.1% and EPS to \$1.76 in 2027.		-GPM% improves from 51% in 2026 to 52.6% in 2027.		-GPM% increases to 51.7% and EPS to \$1.33 in 2027.	
		-EPS of \$0.93 in 2026 and \$1.45 in 2027.			

Risk Reward – Allegro Microsystems Inc (ALGM.O)

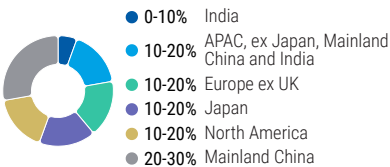
KEY EARNINGS INPUTS

Drivers	Mar 2026	Mar 2027e	Mar 2028e	Mar 2029e
GAAP Revenue (\$, mm)	890	1,092	1,320	1,574
MW Gross Margin (%)	49.0	51.2	52.6	53.4
MW EPS (\$)	0.28	0.80	1.35	1.90
Inventory (\$, mm)	182	194	226	0
DOI (\$, mm)	136.8	127.1	127.3	0.0

INVESTMENT DRIVERS

- **Auto:** EV/ADAS penetration drives content growth.
- **Industrial:** Magnetic sensing and power demand tied to renewables and automation.
- **Data Center:** Motor driver demand continues; current sensor ramp accelerates.

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

5/5 BEST	24 Month Horizon	5/5 MOST	3 Month Horizon
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Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Share gains with Chinese EV makers & Japanese OEMs as China-for-China strategy develops.
- Increased EV & ADAS penetration drive content growth.
- Data center growth momentum continues amid thin competition.

RISKS TO DOWNSIDE

- Share loss in magnetic sensing to Infineon and Melexis.
- Automotive customers request large pricing concessions.
- Sanken sells down their stake.
- Data center competition emerges.

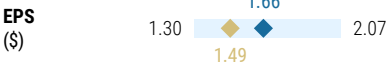
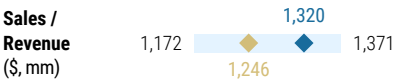
OWNERSHIP POSITIONING

Inst. Owners, % Active	67.2%				
HF Sector Long/Short Ratio	2.1x				
HF Sector Net Exposure	29.5%				

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure – Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Mar 2028e



◆ Mean ◆ Morgan Stanley Estimates
Source: Refinitiv, Morgan Stanley Research

ON Semiconductor Earnings Preview

The company is scheduled to report after the market close on Monday, August 3rd.

Expectations have moderated following the stock's sell-off along with power semi peers. While the company reiterated 2Q guidance, we still see potential for a beat and raise as the setup is more favorable than it appears given +ve peer read-throughs. **For the print, we are focused on:**

1.) Power market recovery: STMicro's 2Q26 earnings call this week highlighted that SiC revenue grew low-teens year-over-year and mid-30s% quarter-over-quarter in 2Q, supported by a book-to-bill well above 1 and a growing backlog - with mgmt confirming SiC revenues will grow double-digit in 2026 versus 2025 based on existing design wins and backlog. STM also noted confidence in a strong 2026, citing *"on top of ADAS, SiC, sensor, general-purpose micro, clearly, AI infrastructure and low-earth-orbit satellite will be a very strong contributor to the performance of ST in 2026,"* along with improving demand in SiC-based power solutions for data center and continued traction in auto design wins. We do believe the broader power market environment has improved, which could have positive netting effects for 2H if replenishment remains muted or does not materialize as expected.

2.) GM% expansion: As of 4Q25, ON had ~700bps of GM% headwinds as a result of underutilization charges (driven by topline). The company gave guidance toward an uptick in utilization in 1Q - which came in at 77%, up from 68% - and an expected trend toward the mid-70s% for the year with progression weighted toward 2H, with utilization guided flat to up slightly in 2Q. With ON already having announced \$200-\$300mn of impairment charges to be recognized through 1H of this year, an associated \$45-\$50mn depreciation benefit in 2026 hitting the P&L in 2H as inventory bleeds through, pricing actions now offsetting input cost headwinds in 2H, and the July 7 announcement of two fab divestitures expected to generate ~\$35mn in annual cost savings starting in 2027, we do see upside toward the year's GM% with the potential for a 4-handle (vs. MSe and Street at 39.6%), which we would see as a surprise relative to buy-side expectations.

Details on the June quarter: We model revenue of \$1,592mn (up 5.2% q/q and up 8.4% y/y), above the Street at \$1,588mn, and GM/EPS of 39.1%/\$0.72, in-line with the Street at 39.0%/\$0.71. By segment, we model Automotive at \$805mn (up 1.0% q/q and up 9.8% y/y), Industrial at \$442mn (up 6.1% q/q and up 8.9% y/y), and other revenue at \$344mn (up 15.0% q/q and up 4.4% y/y).

September quarter outlook: We model revenue of \$1,676mn (up 5.3% q/q and up 8.1% y/y), above the Street at \$1,670mn, and GM/EPS of 40.4%/\$0.84, in-line with the Street at 40.3%/\$0.83. By segment, we model Automotive at \$862mn (up 7.0% q/q and up 9.4% y/y), Industrial at \$460mn (up 4.0% q/q and up 7.9% y/y), and other revenue at \$354mn (up 3.0% q/q and up 5.0% y/y).

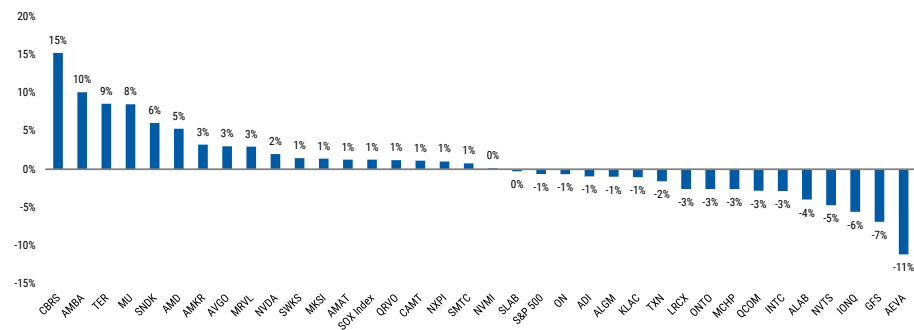
Exhibit 7: ON: MS vs. Cons**MS vs. Consensus***Figures in \$ MM*

	F2Q26E		F3Q26E		2026E		2027E	
	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.
Rev	1,592	1,588	1,676	1,670	6,472	6,481	7,196	7,208
Q/Q Change	5.2%	5.0%	5.3%	5.1%				
GMs	39.1%	39.0%	40.4%	40.3%	40.1%	39.9%	44.0%	43.7%
EPS	\$0.72	\$0.71	\$0.84	\$0.83	\$3.12	\$3.09	\$4.36	\$4.30

Source: FactSet, Morgan Stanley Research estimates

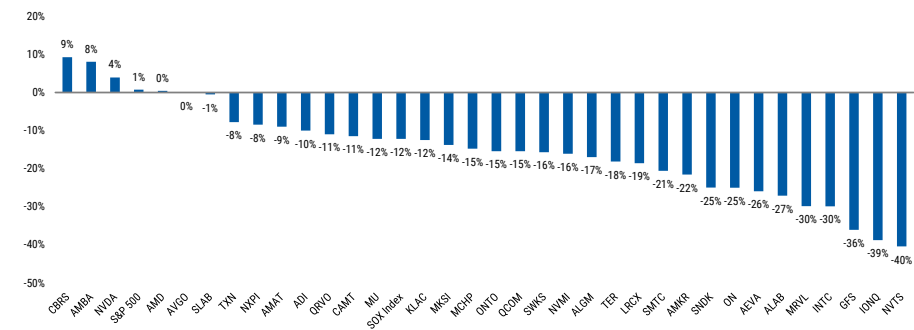
Semiconductor Coverage – Valuation / Stock Performance

Exhibit 8: Weekly stock performance



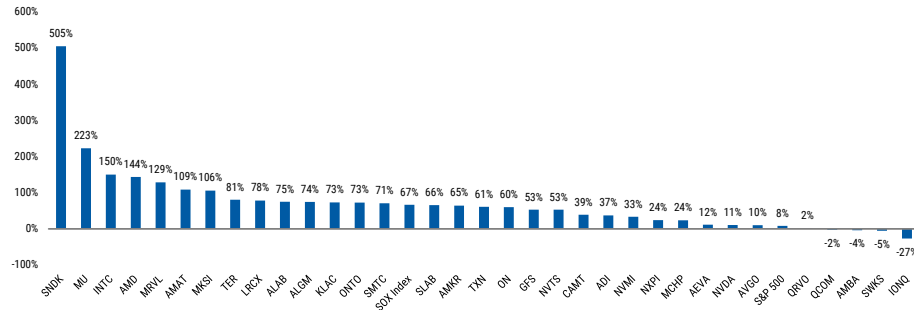
Source: FactSet, Morgan Stanley Research

Exhibit 9: Monthly stock performance



Source: FactSet, Morgan Stanley Research

Exhibit 10: YTD stock performance



Source: FactSet, Morgan Stanley Research

Semis Week Ahead

Exhibit 11: July 27th - July 31st, 2026

July 26th-28th DAE 2026: The Chips To Systems Conference https://dae.com/2026
Monday, July 27th CNSC Earnings 5:00pm ET NXTS Earnings 5:00pm ET AMRQ Earnings 5:00pm ET KREX Earnings 5:00pm ET
Tuesday, July 28th CPKV Earnings 4:00pm ET NOPI Earnings 4:30pm ET SWKS Earnings 4:30pm ET KAC Earnings 5:00pm ET
Wednesday, July 29th MELN Earnings 4:30pm ET TSE Earnings 8:30am ET ALMT Earnings 9:00am ET FORM Earnings 4:30pm ET QCOM Earnings 4:45pm ET ARM Earnings 5:00pm ET LMCA Earnings 5:00pm ET Nanog Earnings 9:00pm ET
Thursday, July 30th SMI Earnings 8:00am ET ASMP Earnings 8:30am ET MPLN Earnings 5:00pm ET
Friday, July 31st KWSA Earnings 2:30pm ET
LOOKING AHEAD Monday, August 3rd ATX Earnings 4:30pm ET UCTT Earnings 4:45pm ET ON Earnings 5:00pm ET
August 4th-6th Flash Memory Summit (FMS) Future of Memory & Storage https://flashmemorysummit.com/
Tuesday, August 4th TSM Earnings 10:00am ET ALM Earnings 4:30pm ET AMD Earnings 5:00pm ET
Wednesday, August 5th FE Earnings 2:30pm ET QFS Earnings 8:30am ET PDM Earnings 4:30pm ET CRUS Earnings 5:00pm ET STIM Earnings 5:00pm ET ARNA Earnings 5:00pm ET Ondas Earnings 5:00pm ET
Thursday, August 6th MRO Earnings 8:30am ET
Wednesday, August 12th CRS Earnings 5:00pm ET
Thursday, August 13th SWK Investor Day 9:00am ET AMAT Earnings 4:30pm ET
August 23rd-25th Net Chip https://netchips.org/
Wednesday, August 26th NVDA Earnings 5:00pm ET
September 2nd-4th SEMICON Taiwan https://www.semiconnwn.org/en
September 8th-11th SPE Photomask Technology + EUV Lithography https://spe.org/conferences-and-exhibitions/photomask-technology-and-extreme-ultraviolet-lithography
September 15th-17th AI Info Summit 2026 https://www.ai-info-summit.com/
Wednesday, September 16th ON Financial Analyst Day 2:00pm ET
September 22nd-24th QCOM Snapdragon Summit https://www.qualcomm.com/company/events/snapdragon-summit
Wednesday, September 23rd TSMC North America QIP Ecosystem Forum https://ipr.tsmc.com/english/events
September 28th-October 1st IMAPS Symposium 2026 https://imaps.org/page/IMAPS-Symposium
October 12th-15th OCF Global Summit https://www.opencore.org/summit/global-summit
October 13th-15th SEMICON West https://www.semiconwest.org/
Tuesday, October 20th SonyTech Tech Day 2026 https://investor.sony.com/events-and-presentations/events
October 20th-22nd ETC Berlin https://www.etc.com/en-en/gb/
Wednesday, October 21st WSA CEO James Hoang Keynote Livestream www.wsai.com 12:00
November 10th-13th SEMICON Europe https://www.semiconnwn.com/
November 10th-20th ICN Supercomputing Conference https://icn.supercomputing.org/
December 8th-11th SEMICON Japan https://www.semiconnwn.com/

Source: Bloomberg, Refinitiv, Morgan Stanley Research

Semiconductor Coverage

Exhibit 12: Semiconductors – Risk Reward

Ticker	Rating	Price	Risk-Reward			% Upside / Downside
			Bear	Base	Bull	Base
<u>Computing</u>						
AMD	EW	\$522.0	\$210	\$410	\$570	-21%
CBRS	OW	\$199.1	\$90	\$273	\$400	37%
INTC	EW	\$92.3	\$50	\$84	\$137	-9%
NVDA	OW	\$206.8	\$160	\$288	\$330	39%
<u>Memory</u>						
MU	OW	\$921.0	\$675	\$1,200	\$1,650	30%
SNDK	OW	\$1,436.6	\$1,100	\$1,750	\$2,635	22%
<u>Capital Equipment</u>						
AMAT	EW	\$536.3	\$455	\$647	\$854	21%
CAMT	EW	\$147.8	\$119	\$167	\$222	13%
KLAC	OW	\$210.5	\$171	\$274	\$333	30%
LRCX	OW	\$305.2	\$289	\$404	\$519	32%
MKSI	OW	\$329.2	\$278	\$442	\$595	34%
NVMI	EW	\$438.0	\$384	\$540	\$723	23%
ONTO	OW	\$272.6	\$257	\$371	\$475	36%
TER	EW	\$349.9	\$267	\$387	\$512	11%
<u>Comm-IC / Multi-Market</u>						
ALAB	OW	\$291.6	\$121	\$240	\$332	-18%
AMBA	OW	\$68.1	\$34	\$96	\$136	41%
AVGO	OW	\$381.9	\$308	\$502	\$637	31%
MRVL	EW	\$194.2	\$130	\$195	\$286	0%
QCOM	EW	\$167.0	\$108	\$231	\$305	38%
QRVO	EW	\$86.5	\$40	\$84	\$110	-3%
SMTX	EW	\$125.9	\$95	\$175	\$230	39%
SWKS	EW	\$60.2	\$43	\$76	\$105	26%
<u>Analog / MCUs</u>						
ADI	OW	\$371.9	\$342	\$428	\$517	15%
ALGM	OW	\$46.0	\$43	\$51	\$70	11%
MCHP	EW	\$78.9	\$69	\$94	\$118	19%
NVTS	UW	\$10.9	\$4.9	\$13.7	\$22.7	25%
NXPI	OW	\$269.2	\$268	\$335	\$400	24%
ON	NC	\$86.8	++	++	++	-
SLAB	EW	\$216.9	\$83	\$231	\$265	7%
TXN	UW	\$279.6	\$213	\$255	\$302	-9%
<u>Components</u>						
AEVA	EW	\$14.9	\$4.5	\$18.5	\$52.0	25%
<u>Foundry</u>						
AMKR	EW	\$65.0	\$49	\$69	\$88	6%
GFS	EW	\$53.5	\$34	\$58	\$96	8%
<u>Quantum Computing</u>						
IONQ	EW	\$32.8	\$6	\$48.5	\$110	48%

Source: FactSet, Morgan Stanley Research estimates

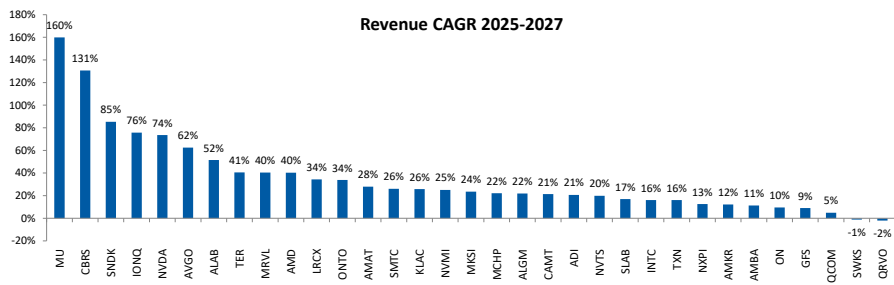
Exhibit 13: MS vs. Street

		CY2027e EPS				CY2027e Revenue		
		MS	Consensus	% Diff		MS	Consensus	% Diff
OW	ADI	\$15.28	\$15.46	(4%)	ADI	\$17,105	\$17,368	(3%)
	ALAB	\$3.70	\$4.68	(8%)	ALAB	\$1,957	\$2,253	(1%)
	ALGM	\$1.45	\$1.36	10%	ALGM	\$1,247	\$1,205	2%
	AMBA	\$0.83	\$1.05	3%	AMBA	\$484	\$494	0%
	AVGO	\$19.59	\$20.60	(3%)	AVGO	\$180,289	\$184,346	0%
	CBRS	\$0.88	\$0.96	(3%)	CBRS	\$2,714	\$2,947	0%
	KLAC	\$6.12	\$5.81	(1%)	KLAC	\$20,159	\$18,970	(0%)
	LRCX	\$10.14	\$9.13	(0%)	LRCX	\$37,130	\$33,734	(0%)
	MKSI	\$17.62	\$15.22	4%	MKSI	\$6,001	\$5,558	1%
	MU	\$180.48	\$158.62	45%	MU	\$285,950	\$258,785	18%
	NVDA	\$8.98	\$12.43	6%	NVDA	\$393,005	\$548,473	5%
	NXPI	\$18.51	\$17.94	4%	NXPI	\$15,557	\$15,680	1%
EW	ONTO	\$11.24	\$9.76	4%	ONTO	\$1,800	\$1,654	1%
	SNDK	\$208.11	\$226.67	43%	SNDK	\$48,278	\$52,733	7%
	AEVA	-\$1.66	-\$1.54	2%	AEVA	\$74	\$71	(19%)
	AMAT	\$18.41	\$17.62	2%	AMAT	\$46,203	\$44,337	3%
	AMD	\$12.12	\$13.69	1%	AMD	\$68,227	\$78,903	(5%)
	AMKR	\$2.30	\$2.42	(8%)	AMKR	\$8,436	\$8,503	(4%)
	CAMT	\$4.82	\$4.52	10%	CAMT	\$731	\$698	5%
	GFS	\$2.39	\$2.49	(4%)	GFS	\$8,065	\$8,039	(1%)
	INTC	\$2.00	\$1.64	21%	INTC	\$71,264	\$66,153	0%
	IONQ	-\$0.32	-\$1.85	(109%)	IONQ	\$401	\$386	3%
	MCHP	\$3.37	\$3.92	(1%)	MCHP	\$6,517	\$6,944	2%
	MRVL	\$5.93	\$6.06	3%	MRVL	\$16,161	\$16,256	2%
	NVMI	\$13.44	\$12.85	1%	NVMI	\$1,377	\$1,296	4%
	QCOM	\$11.47	\$11.54	(100%)	QCOM	\$49,324	\$46,003	(100%)
	QRVO	\$8.04	\$7.47	(3%)	QRVO	\$3,586	\$3,577	(7%)
UW	SLAB	\$4.14	\$4.43	9%	SLAB	\$1,073	\$1,075	1%
	SMTC	\$3.67	\$3.74	(2%)	SMTC	\$1,668	\$1,637	0%
±	SWKS	\$5.34	\$5.39	(4%)	SWKS	\$3,956	\$4,103	(3%)
	TER	\$11.37	\$10.44	0%	TER	\$6,297	\$5,622	2%
±	NVTS	-\$0.17	-\$0.14	13%	NVTS	\$66	\$73	15%
	TXN	\$9.80	\$10.15	(1%)	TXN	\$23,832	\$24,836	(1%)
±	ON	\$4.36	\$4.30	8%	ON	\$7,196	\$7,208	(0%)

Source: FactSet, Morgan Stanley Research estimates

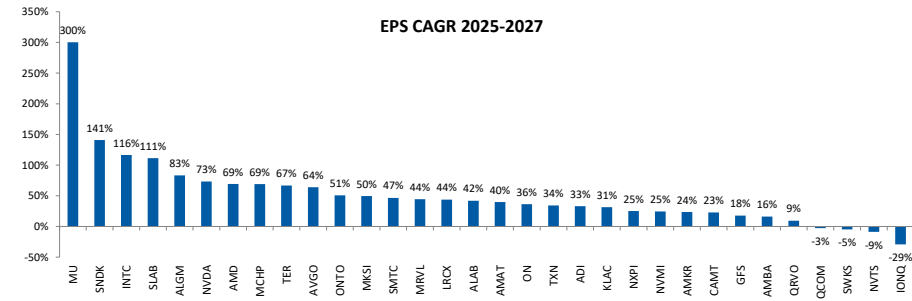
Revenue and EPS Growth

Exhibit 14: 2025-27e Revenue CAGR



Source: FactSet, Morgan Stanley estimates

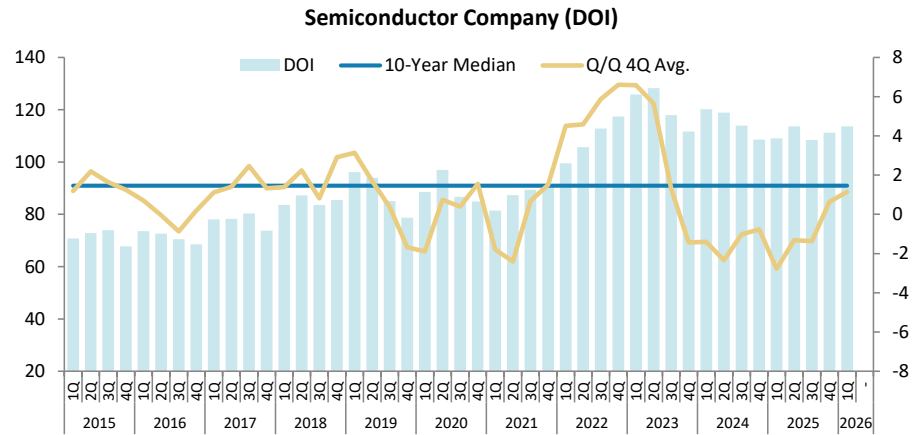
Exhibit 15: 2025-27e EPS CAGR



Source: FactSet, Morgan Stanley estimates

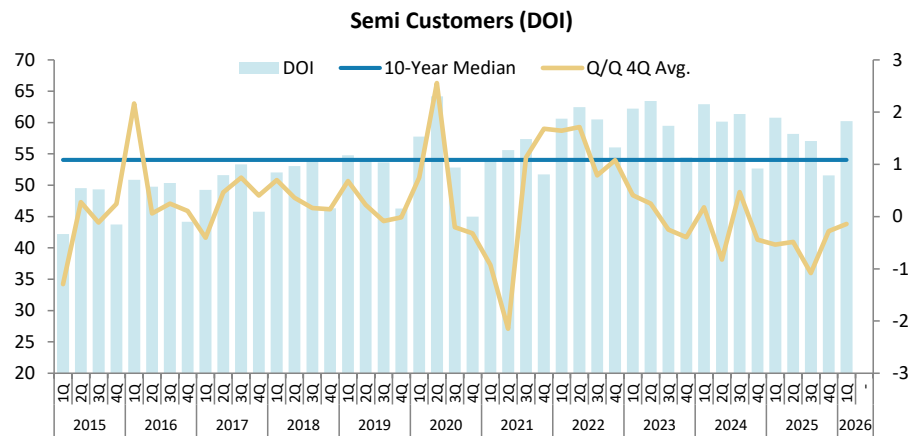
Inventory

Exhibit 16: Semiconductor Company inventory is at 114 days, up 2 days q/q, which is 2 days ahead of the seasonal increase of 5 days. DOI is 23 days above the historical median and trailing 4-quarters slightly increased...



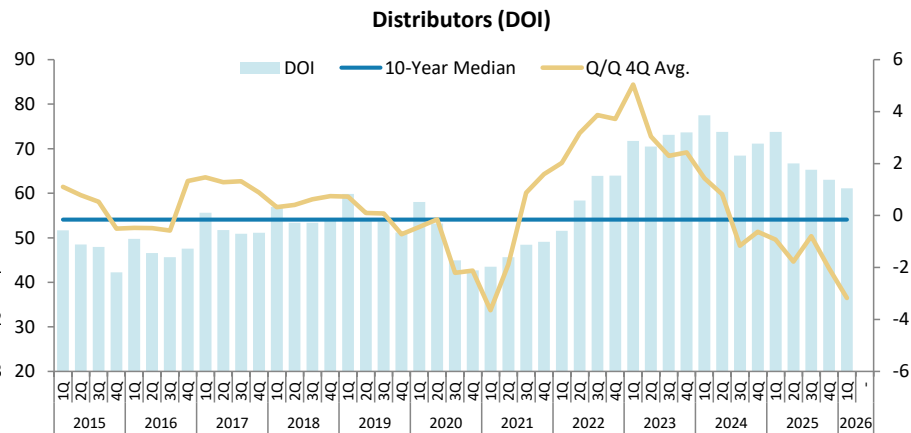
Source: FactSet, Morgan Stanley Research

Exhibit 17: Semi Customer DOI increased 9 days sequentially to 60 days vs a seasonal increase of 8 days. DOI is above the historical median and trailing 4 quarters increased from last quarter



Source: FactSet, Morgan Stanley Research

Exhibit 18: Distributor inventory is at 61 days, down 2 days q/q, below seasonal increase of 4 days. DOI is 7 days above the historical median while trailing 4-quarters decreased sequentially



Source: FactSet, Morgan Stanley Research

Short Interest

Exhibit 19: Short Interest as % of Float

	24/Jul/25	24/Apr/26	24/May/26	24/Jun/26	24/Jul/26
ADI	1.7%	2.0%	2.2%	1.9%	2.1%
AEVA	8.2%	12.4%	11.9%	10.7%	7.1%
ALAB	6.4%	9.0%	7.7%	6.9%	5.6%
ALGM	7.0%	6.4%	5.9%	6.4%	6.7%
AMAT	1.9%	1.6%	2.0%	2.5%	2.1%
AMBA	4.9%	4.8%	6.0%	5.1%	9.0%
AMD	3.0%	2.2%	2.2%	2.7%	2.4%
AMKR	2.6%	3.5%	3.0%	3.4%	3.5%
AVGO	1.2%	1.1%	1.1%	1.2%	1.4%
CAMT	7.8%	7.4%	6.5%	6.5%	5.4%
CBRS				2.1%	3.7%
GFS	1.8%	3.1%	1.8%	1.4%	1.2%
INTC	2.6%	2.4%	2.8%	2.7%	2.4%
IONQ	9.8%	21.7%	22.4%	15.5%	12.6%
KLAC	2.8%	2.4%	2.4%	2.7%	2.1%
LRCX	2.5%	2.2%	2.3%	2.6%	2.4%
MCHP	6.5%	5.1%	5.5%	6.0%	6.5%
MKSI	6.1%	5.5%	5.3%	6.6%	7.6%
MRVL	2.9%	3.2%	3.2%	4.0%	3.7%
MU	2.5%	2.8%	3.3%	3.3%	3.2%
NVDA	1.0%	1.2%	1.2%	1.2%	1.3%
NVMI	5.2%	5.2%	4.8%	5.6%	4.1%
NVTS	19.7%	18.3%	17.7%	15.2%	16.6%
NXPI	2.4%	3.2%	2.6%	3.3%	3.5%
ON	9.0%	7.9%	7.5%	8.0%	8.0%
ONTO	4.3%	2.7%	2.0%	3.9%	5.4%
QCOM	2.0%	4.1%	4.7%	4.3%	3.4%
QRVO	7.0%	7.1%	6.7%	7.9%	7.9%
SLAB	5.0%	4.6%	5.7%	7.2%	8.9%
SMTC	10.0%	5.8%	6.7%	6.8%	7.0%
SNDK	5.0%	5.4%	7.3%	6.2%	5.3%
SWKS	9.0%	13.3%	15.1%	18.7%	21.8%
TER	4.4%	3.1%	3.5%	4.4%	4.7%
TXN	2.0%	2.0%	1.7%	2.1%	1.7%
AVERAGE	5.2%	5.7%	5.7%	5.7%	5.7%
MEDIAN	4.9%	4.6%	4.8%	4.7%	4.4%

Source: FactSet, Morgan Stanley Research

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Risk Reward Reference links

1. View explanation of Options Probabilities methodology - [Options_Probabilities_Exhibit_Link.pdf](#)
2. View descriptions of Risk Rewards Themes - [RR_Themes_Exhibit_Link.pdf](#)
3. View explanation of regional hierarchies - [GEG_Exhibit_Link.pdf](#)
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(as of June 30, 2026)

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	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
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Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

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INDUSTRY COVERAGE: Semiconductors

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/24/2026)
Joseph Moore		
Advanced Micro Devices (AMD.O)	E (06/09/2024)	\$521.95
Aeva Technologies Inc (AEVA.O)	E (07/19/2021)	\$14.85
Allegro Microsystems Inc (ALGM.O)	O (02/13/2026)	\$46.03
Ambarella Inc (AMBA.O)	O (03/29/2016)	\$68.06
Amkor Technology Inc (AMKR.O)	E (11/08/2023)	\$64.96
Analog Devices Inc. (ADI.O)	O (11/16/2023)	\$371.86
Astera Labs Inc (ALAB.O)	O (05/11/2025)	\$291.58
Broadcom Inc. (AVGO.O)	O (06/09/2024)	\$381.92
Cerebras Systems (CBRS.O)	O (06/08/2026)	\$199.12
GlobalFoundries Inc (GFS.O)	E (10/28/2024)	\$53.53
Intel Corporation (INTC.O)	E (02/22/2023)	\$92.32
IonQ Inc (IONQ.N)	E (04/25/2023)	\$32.84
Marvell Technology Group Ltd (MRVL.O)	E (09/14/2015)	\$194.23
Microchip Technology Inc. (MCHP.O)	E (07/10/2024)	\$78.86
Micron Technology Inc. (MU.O)	O (10/06/2025)	\$920.95

Navitas Semiconductor Corp (NVTS.O)	U (04/06/2025)	\$10.92
NVIDIA Corp. (NVDA.O)	O (03/16/2023)	\$206.84
NXP Semiconductor NV (NXPI.O)	O (02/11/2025)	\$269.24
ON Semiconductor Corp. (ON.O)	++	\$86.81
Qorvo Inc (QRVO.O)	E (10/28/2025)	\$86.51
Qualcomm Inc. (QCOM.O)	E (06/24/2026)	\$166.97
Quantinuum (QNT.O)	E (06/29/2026)	\$52.29
SanDisk Corporation. (SNDK.O)	O (03/03/2025)	\$1,436.56
Semtech Corp. (SMTC.O)	E (04/06/2025)	\$125.92
Silicon Laboratories Inc. (SLAB.O)	E (01/19/2021)	\$216.88
Skyworks Solutions Inc (SWKS.O)	E (11/28/2018)	\$60.21
Texas Instruments (TXN.O)	U (04/13/2020)	\$279.58
Wolfspeed, INC (WOLF.N)	NR (04/06/2025)	\$23.09
Lee Simpson		
Arm Holdings plc (ARM.O)	E (04/07/2026)	\$260.01
Cadence Design Systems Inc (CDNS.O)	O (02/14/2024)	\$326.24
Synopsys Inc. (SNPS.O)	E (02/27/2026)	\$373.47

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* Historical prices are not split adjusted.